THE DIRECT METHOD FOR CASH FLOWS FROM OPERATING ACTIVITIES

Learning Outcome

- describe the steps in the preparation of direct and indirect cash flow statements, including how cash flows can be computed using income statement and balance sheet data

The first step in preparing the cash flow statement is to determine cash flows from operating activities, which can be presented using the direct or indirect method. The direct method uses the major categories of gross cash receipts and payments, and the indirect method reconciles net income to net cash flow. Cash flows from investing activities and from financing activities are identical regardless of whether the direct or indirect method is used to present operating cash flows.

- Companies often disclose only indirect operating cash flow information but understanding how cash flow information is put together will enable you to take an indirect statement apart and reconfigure it to approximate a direct cash flow statement, which—while not perfectly accurate—can be useful. This lesson demonstrates the approximate preparation of a direct cash flow statement using the income statement and the comparative balance sheets for Acme Corporation (a fictitious retail company) shown in Exhibit 9 and Exhibit 10.

Exhibit 9:

Acme Corporation Income Statement Year Ended 31 December 2018

Revenue (net)		USD23,598
Cost of goods sold		11,456
Gross profit		12,142
Salary and wage expense	USD4,123	
Depreciation expense	1,052	
Other operating expenses	3,577	
Total operating expenses		8,752
Operating profit		3,390
Other revenues (expenses):		
Gain on sale of equipment	205	
Interest expense	(246)	(41)
Income before tax		3,349
Income tax expense		1,139
Net income		USD2,210

Exhibit 10:

Acme Corporation Comparative Balance Sheets 31 December 2018 and 2017

	2018	2017	Net Change

Prepaid expenses	155	178	(23)
Total current assets	6,162	5,575	587
Land	510	510	—
Buildings	3,680	3,680	—
Equipment*	8,798	8,555	243
Less: accumulated depreciation	(3,443)	(2,891)	(552)
Total long-term assets	9,545	9,854	(309)
Total assets	USD15,707	USD15,429	USD278
Accounts payable	USD3,588	USD3,325	USD263
Salary and wage payable	85	75	10
Interest payable	62	74	(12)
Income tax payable	55	50	5
Other accrued liabilities	1,126	1,104	22
Total current liabilities	4,916	4,628	288
Long-term debt	3,075	3,575	(500)
Common stock	3,750	4,350	(600)
Retained earnings	3,966	2,876	1,090
Total liabilities and equity	USD15,707	USD15,429	USD278

* During 2018, Acme purchased new equipment for a total cost of $1,300. No items impacted retained earnings other than net income and dividends.

Operating Activities: Direct Method

We first determine how much cash Acme received from its customers (sometimes referred to as “cash collections”), followed by how much cash was paid to suppliers and to employees, as well as how much cash was paid for other operating expenses, interest, and income taxes.

Cash Received From Customers

The income statement for Acme reported revenue of USD23,598 for the year ended 31 December 2018. To determine the approximate cash receipts from its customers, it is necessary to adjust this revenue amount by the net change in accounts receivable for the year. If accounts receivable increase during the year, revenue on an accrual basis is higher than cash receipts from customers, and vice versa. For Acme Corporation, accounts receivable increased by USD55, so cash received from customers was USD23,543, as shown in Exhibit 11.

Exhibit 11: Cash Received from Customers

Revenue	USD23,598
Less: Increase in accounts receivable	(USD55)
Cash received from customers	**USD23,543**

Cash received from customers affects the accounts receivable account as shown in Exhibit 12.

Exhibit 12: Effect on Accounts Receivable, 1

Beginning accounts receivable	957
Plus revenue	23,598
Minus cash collected from customers	**(23,543)**
Ending accounts receivable	USD1,012

Exhibit 13: Effect on Accounts Receivable, 2

Beginning accounts receivable	USD957
Plus revenue	23,598
Minus ending accounts receivable	(1,012)
Cash collected from customers	**USD23,543**

Acme did not have any deferred or unearned revenue. If it did, further adjustment would be required to arrive at cash collected from customers (a decrease in deferred revenue would be a negative adjustment and vice versa).

EXAMPLE 5

Computing Cash Received from Customers

1. Blue Bayou, a fictitious advertising company, reported revenues of USD50 million, total expenses of USD35 million, and net income of USD15 million in the most recent year. If accounts receivable decreased by USD12 million, how much cash did the company receive from customers?

   A. USD38 million
   B. USD50 million
   C. USD62 million

   Hide Solution

   Solution:

   C is correct. Revenues of USD50 million plus the decrease in accounts receivable of USD12 million equals USD62 million cash received from customers. The decrease in accounts receivable means that the company received more in cash than the amount of revenue it reported.

Cash Paid to Suppliers

For Acme, the cash paid to suppliers was USD11,900, determined as shown in Exhibit 14.

Exhibit 14: Cash Paid to Suppliers

Cost of goods sold	USD11,456
Plus: Increase in inventory	707
Equals purchases from suppliers	USD12,163
Less: Increase in accounts payable	(263)
Cash paid to suppliers	**USD11,900**

There are two pieces to this calculation: the amount of inventory purchased and the amount paid for it. To determine purchases from suppliers, cost of goods sold is adjusted for the change in inventory. If inventory increased during the year, then purchases during the year exceeded cost of goods sold, and vice versa. Acme reported cost of goods sold of USD11,456 for the year ended 31 December 2018. For Acme Corporation, inventory increased by USD707, so purchases from suppliers was USD12,163. Purchases from suppliers affect the inventory account, as shown in Exhibit 15.

Exhibit 15: Effect on Inventory

Ending inventory	USD3,984

Acme purchased USD12,163 of inventory from suppliers in 2018, but is this the amount of cash that Acme paid to its suppliers during the year? Not necessarily. Acme may not have yet paid for all of these purchases and may yet owe for some of the purchases made this year. In other words, Acme may have paid less cash to its suppliers than the amount of this year's purchases, in which case Acme's liability (accounts payable) will have increased by the difference. Alternatively, Acme may have paid even more to its suppliers than the amount of this year's purchases, in which case Acme's accounts payable will have decreased.

Therefore, once purchases have been determined, cash paid to suppliers can be calculated by adjusting purchases for the change in accounts payable. If the company made all purchases with cash, then accounts payable would not change and cash outflows would equal purchases. If accounts payable increased during the year, then purchases on an accrual basis would be higher than they would be on a cash basis, and vice versa. In this example, Acme made more purchases than it paid in cash, so the balance in accounts payable increased. For Acme, the cash paid to suppliers was USD11,900, determined as shown in Exhibit 16.

Exhibit 16: Cash Paid to Suppliers

Purchases from suppliers	USD12,163
Less: Increase in accounts payable	(263)
Cash paid to suppliers	**USD11,900**

The amount of cash paid to suppliers is reflected in the accounts payable account, as shown in Exhibit 17.

Exhibit 17: Cash Paid to Suppliers

Beginning accounts payable	USD3,325
Plus purchases	12,163
Minus cash paid to suppliers	**(11,900)**
Ending accounts payable	USD3,588

EXAMPLE 6

Computing Cash Paid to Suppliers

1. Orange Beverages Plc., a fictitious manufacturer of tropical drinks, reported cost of goods sold for the year of USD100 million. Total assets increased by USD55 million, but inventory declined by USD6 million. Total liabilities increased by USD45 million, but accounts payable decreased by USD2 million. How much cash did the company pay to its suppliers during the year?

   A. USD96 million
   B. USD104 million
   C. USD108 million

   Hide Solution

   Solution:

   A is correct. Cost of goods sold of USD100 million less the decrease in inventory of USD6 million equals purchases from suppliers of USD94 million.

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Cash Paid to Employees

To determine the cash paid to employees, it is necessary to adjust salary and wage expenses by the net change in salary and wages payable for the year. If salary and wages payable increased during the year, then salary and wage expenses on an accrual basis would be higher than the amount of cash paid for this expense, and vice versa. For Acme, salary and wages payable increased by USD10, so cash paid for salary and wages was USD4,113, as shown in Exhibit 18.

Exhibit 18: Salary and Wages

Salary and wages expense	USD4,123
Less: Increase in salary and wages payable	(10)
Cash paid to employees	**USD4,113**

The amount of cash paid to employees is reflected in the salary and wages payable account, as shown in Exhibit 19.

Exhibit 19: Cash Paid to Employees

Beginning salary and wages payable	USD75
Plus salary and wages expense	4,123
Minus cash paid to employees	**(4,113)**
Ending salary and wages payable	USD85

Cash Paid for Other Operating Expenses

To determine the cash paid for other operating expenses, it is necessary to adjust the other operating expense amounts on the income statement by the net changes in prepaid expenses and accrued expense liabilities for the year. If prepaid expenses increased during the year, other operating expenses on a cash basis would be higher than on an accrual basis, and vice versa. Likewise, if accrued expense liabilities increased during the year, other operating expenses on a cash basis would be lower than on an accrual basis, and vice versa. For Acme Corporation, the amount of cash paid for operating expenses in 2018 was USD3,532, as shown in Exhibit 20.

Exhibit 20: Cash Paid for Operating Expenses

Other operating expenses	USD3,577
Less: Decrease in prepaid expenses	(23)
Less: Increase in other accrued liabilities	(22)
Cash paid for other operating expenses	**USD3,532**

EXAMPLE 7

Computing Cash Paid for Other Operating Expenses

1. Black Ice, a fictitious sportswear manufacturer, reported other operating expenses of USD30 million. Prepaid insurance expense increased by USD4 million, and accrued utilities payable decreased by USD7 million. Insurance and utilities are the only two components of other operating expenses. How much cash did the company pay in other operating expenses?

Hide Solution

Solution:

C is correct. Other operating expenses of USD30 million plus the increase in prepaid insurance expense of USD4 million plus the decrease in accrued utilities payable of USD7 million equals USD41 million.

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Cash Paid for Interest

The cash paid for interest is included in operating cash flows under US GAAP and may be included in operating or financing cash flows under IFRS. To determine the cash paid for interest, it is necessary to adjust interest expense by the net change in interest payable for the year. If interest payable increases during the year, then interest expense on an accrual basis will be higher than the amount of cash paid for interest, and vice versa. For Acme Corporation, interest payable decreased by USD12, and cash paid for interest was USD258, as shown in Exhibit 21.

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Exhibit 21: Cash Paid for Interest

Interest expense	USD246
Plus: Decrease in interest payable	12
Cash paid for interest	**USD258**

Alternatively, cash paid for interest may also be determined by an analysis of the interest payable account, as shown in Exhibit 22.

Exhibit 22: Interest Payable Account

Beginning interest payable	USD74
Plus interest expense	246
Minus cash paid for interest	**(258)**
Ending interest payable	USD62

Cash Paid for Income Taxes

To determine the cash paid for income taxes, it is necessary to adjust the income tax expense amount on the income statement by the net changes in taxes receivable, taxes payable, and deferred income taxes for the year. If taxes receivable or deferred tax assets increase during the year, income taxes on a cash basis will be higher than on an accrual basis, and vice versa. Likewise, if taxes payable or deferred tax liabilities increase during the year, income tax expense on a cash basis will be lower than on an accrual basis, and vice versa. For Acme Corporation, the amount of cash paid for income taxes in 2018 was USD1,134, as shown in Exhibit 23.

Exhibit 23: Cash Paid for Income Taxes

Income tax expense	USD1,139
Less: Increase in income tax payable	(5)
Cash paid for income taxes	**USD1,134**

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